SuryaJal Technologies

From Household Savings to Solar-Pump Expansion

How should a growing Indian enterprise finance its next stage?

USE OF THIS CASE

This case was prepared solely as a basis for classroom discussion. It is not intended to illustrate either effective or ineffective handling of a managerial situation. SuryaJal Technologies, its executives, the financing proposals, and the financial figures are fictional. References to India's financial architecture are included for educational context.

At 7:40 p.m. on a humid July evening, Aditi Verma closed the final spreadsheet on her laptop and looked again at the four financing alternatives before SuryaJal Technologies Private Limited.

The company needed ₹60 crore to build a larger assembly facility, expand working capital, and strengthen product development. Demand appeared promising, but internal funds were insufficient. The next morning, the board expected a recommendation. Aditi would have to decide not only where the money should come from, but also what obligations, risks, and changes in control the company should accept in return.

The decision seemed to concern one company. In reality, it raised a wider question: how could the savings of households and institutions, dispersed across India, reach an enterprise with a productive investment opportunity?

The business and the opportunity

SuryaJal manufactured solar-powered irrigation pumps and low-cost water-management controllers for small farmers. The company sourced solar panels and electronic components from suppliers in Gujarat and Maharashtra. A specialised control unit was purchased from a South Korean supplier and invoiced in foreign currency. Final assembly was undertaken in Jharkhand.

SuryaJal had grown through the promoters' contributions, retained earnings, and a working-capital facility from a public-sector bank. Farmer-producer organizations, agricultural cooperatives, rural distributors, and institutional buyers had begun to show greater interest in the company's products. Management believed a larger plant could increase capacity, reduce unit costs, and support entry into eastern and north-eastern markets.

The project required a large commitment before the additional sales would materialise. Land, construction, and machinery would consume cash early. Inventory and receivables would rise as distribution expanded. Certification, software, and product development expenditures would also be necessary.

The ₹60-crore requirement

Proposed use	Amount	Nature of need
Land, factory building and civil works	₹18 crore	Long-term fixed investment
Machinery and assembly lines	₹22 crore	Long-term productive assets
Research, software and product certification	₹6 crore	Growth and capability investment
Additional inventory and receivables	₹10 crore	Working-capital need
Contingency provision	₹4 crore	Project uncertainty buffer
Total	₹60 crore	

Source: Case figures; all amounts and projections are fictional teaching assumptions.

Where would the money originate?

Across India, households held savings in bank deposits, insurance policies, retirement arrangements, mutual fund units, government securities, corporate bonds, and shares. Firms and governments could also temporarily hold surplus funds. Yet the people who were saved were rarely the same as those who had investment opportunities requiring finance.

Rajesh Kumar, a school teacher in Jamshedpur, illustrated the distance between the saver and the borrower. Each month, Rajesh deposited part of his salary into a bank account, paid an insurance premium, contributed to his retirement savings, and invested through a mutual fund systematic investment plan. Rajesh had never heard of SuryaJal. Even if he had, he could not reasonably evaluate the technology, inspect the factory, negotiate a loan agreement, monitor the use of funds, or recover money if the project failed. His monthly surplus was also negligible relative to SuryaJal's requirement.

Nevertheless, some of Rajesh's savings could be directed to a company such as SuryaJal. A bank could use pooled deposits and other funding to make a business loan. A mutual fund, insurance company, or retirement fund could purchase securities issued by businesses. An investor could subscribe to newly issued shares or debentures. Each route created a chain of financial claims: one party's financial asset was another party's liability or ownership obligation.

MANAGERIAL QUESTION

Would SuryaJal be better served by borrowing through a financial intermediary, raising funds directly through securities, accepting new owners, or combining several channels?

Proposal 1: Bharat Commercial Bank

SuryaJal's existing bank offered a ₹40-crore term loan and a separate working-capital facility. The term loan would carry a floating interest rate linked to the bank's lending benchmark. The proposal required a promoter contribution of at least ₹20 crore, a mortgage over the new factory, personal guarantees from the two promoters, quarterly financial reporting, restrictions on additional borrowing, limits on dividend payments, and periodic inspection of inventory and project progress.

The bank's credit team requested financial statements, projected cash flows, customer contracts, supplier arrangements, promoter information, existing liabilities, collateral records, and sensitivity analyses. Aditi considered the process demanding. The bank argued that its depositors expected protection and access to their money, while a long-term business loan was illiquid and exposed to default. Credit appraisal, documentation, diversification, monitoring, and recovery were therefore part of the bank's intermediation role.

The bank could pool thousands of small balances, employ specialist credit officers, use standard contracts, spread exposure across many borrowers, and monitor SuryaJal after disbursement. Individual savers could not perform these functions at a comparable scale. Yet the proposed debt also imposed fixed obligations. If sales were delayed or input costs increased, interest and principal would still fall due.

Proposal 2: Secured non-convertible debentures

A merchant banker suggested that SuryaJal prepare for a ₹30-crore issue of secured non-convertible debentures to eligible investors. The instrument would represent debt rather than ownership. SuryaJal would promise periodic interest, repayment of principal at maturity, security over specified assets, and compliance with agreed covenants.

The initial issue would occur in the primary market. If the debentures were subsequently listed and traded, an investor seeking liquidity could sell to another investor in the secondary market. SuryaJal would ordinarily receive no new money from that resale. Even so, the ability to sell later could make investors more willing to purchase the original issue, while secondary-market prices could influence the terms on which future securities were offered.

The merchant banker would assist with instrument design, documentation, pricing, communication, and placement. Other market institutions could contribute credit assessment, trusteeship, settlement, custody, disclosure, and investor protection. The route could diversify SuryaJal's funding sources, but it would also bring issue expenses, disclosure requirements, credit-rating costs, investor scrutiny, fixed servicing obligations, and refinancing risk at maturity.

Proposal 3: Impact-investment equity

An impact investment fund offered ₹25 crore in equity for a significant ownership stake. The fund would not receive contractual interest or scheduled principal. Its return would depend on the value of SuryaJal, future dividends, and the ability to exit through a strategic sale, transfer, or eventual public listing.

The proposal reduced immediate repayment pressure and provided capital capable of absorbing business risk. However, the fund sought board representation, enhanced financial reporting, consent rights over specified decisions, and a credible exit route. Aditi and the co-promoter would share control and future gains with the new investor. Debt holders would continue to have contractual priority, while equity investors would remain residual claimants.

Proposal 4: A blended structure

SuryaJal's chief financial officer recommended combining instruments rather than depending on a single channel.

Source	Amount	Proposed purpose
Promoters' retained earnings and fresh contribution	₹10 crore	Commitment and loss-absorbing base
Impact-investment fund	₹15 crore	Growth equity and balance-sheet support
Bank term loan	₹25 crore	Factory building and machinery
Working-capital bank facility	₹10 crore	Inventory and receivables
Total	₹60 crore	

Source: Chief financial officer's proposed structure; fictional case data.

The arrangement appeared to match longer-term funding with long-lived assets and short-term borrowing with inventory and receivables. It also reduced dependence on any one source. However, the arrangement introduced several stakeholders, each with different rights and expectations. The bank wanted timely debt service and covenant protection. The fund wanted governance rights and value appreciation. The promoters wanted strategic flexibility. Working-capital availability would depend on operational performance and lender review.

Information before and after financing

The proposals revealed a fundamental difficulty: Aditi knew more about SuryaJal's technology, customers, operational weaknesses, and growth assumptions than outside financiers. The projections assumed rapid market expansion, manageable distributor payment delays, stable supplier relationships, successful certification, and no major technological failure.

Before providing funds, lenders and investors had to distinguish a viable enterprise from an overly optimistic or weak applicant. High-risk borrowers might be especially eager to obtain finance. A financier unable to separate better risks from worse risks might charge more, insist on protection, ration credit, or refuse funding. This pre-transaction problem was adverse selection.

After receiving funds, SuryaJal could take actions that financiers might not fully observe. It could divert funds to a different project, increase borrowing elsewhere, distribute excessive cash, take greater operating risks, or delay disclosure of setbacks. These post-transaction incentives created moral hazard.

Collateral, promoter contribution, due diligence, phased disbursement, covenants, audits, board representation, and recurring disclosure could reduce these concerns. Yet each safeguard carried a cost. Excessive restrictions could limit entrepreneurial flexibility, and an excessive emphasis on physical collateral could disadvantage a business whose value depended on technology, relationships, and execution.

The wider financial environment

Interest rates and monetary conditions

The bank explained that its lending rate was connected to the wider monetary and credit environment. Changes in policy and market interest rates could alter the cost and availability of funds, the returns available to savers, the attractiveness of debt securities, and the willingness of households and businesses to borrow. A floating-rate loan therefore transferred part of this uncertainty to SuryaJal.

A rise in borrowing costs could affect the company twice. First, SuryaJal's own debt service could increase. Second, farmers, distributors, and other buyers might face more expensive credit, affecting demand and payment behaviour. A financing choice made today could therefore behave differently under future monetary conditions.

Regulation and confidence

India's financial architecture included specialised regulators and market institutions. The Reserve Bank of India operated the currency and credit system and conducted monetary policy within its statutory framework. The Securities and Exchange Board of India was responsible for protecting investors' interests and promoting and regulating the securities market. Regulation did not eliminate business or investment risk, but disclosure, conduct requirements, prudential oversight, and orderly market infrastructure could support confidence in financial transactions.

Source: Reserve Bank of India official website; Securities and Exchange Board of India, About SEBI. See endnotes.

Foreign-exchange exposure

The South Korean control unit introduced currency risk. If the Indian rupee weakened against the invoicing currency, SuryaJal would need more rupees to pay the same foreign-currency amount. The impact could appear in input cost, gross margin, product pricing, working-capital needs, and debt-service capacity.

Management considered several responses: accepting the exposure, negotiating rupee-based pricing, increasing domestic sourcing, matching foreign-currency inflows and outflows if available, or evaluating an appropriate hedging arrangement through its bank. Each response involved cost, availability, operational feasibility, and residual risk.

Comparing claims on the company

Dimension	Bank term loan	Debenture	External equity
Basic claim	Creditor claim under loan contract	Tradable or transferable debt security	Ownership and residual claim
Regular cash payment	Interest plus scheduled principal	Interest plus principal at maturity/contracted schedule	No contractual interest or principal repayment
Maturity	Specified	Specified	No maturity
Promoter ownership	No ordinary dilution	No ordinary dilution	Dilution
Control mechanism	Covenants, security, monitoring	Covenants, security, disclosure, trustee/investor rights	Board and governance rights
Investor upside	Contractual return	Contractual return	Participation in value increase
Company's central risk	Debt-service and covenant pressure	Servicing, disclosure, placement and refinancing	Control dilution and sharing future upside

Source: Case author's synthesis of the fictional proposals.

Board decision

Aditi reviewed the alternatives one last time. An all-debt solution would preserve ownership but increase fixed obligations and vulnerability to interest-rate and operating shocks. External equity would provide a stronger buffer but require dilution and shared governance. Debentures could broaden market access, but SuryaJal had not yet demonstrated whether the economics of the issue, rating, investor demand, reporting systems, and refinancing plan were suitable. The blended structure appeared balanced, yet it created contractual complexity and required careful coordination among capital providers.

The board would expect more than a preference. Aditi needed to recommend an amount from each source, explain why the instruments fit the uses of funds, identify the risks each stakeholder would bear, and specify the safeguards SuryaJal should accept. She also had to show that the company could survive slower sales, delayed receivables, higher interest rates, and a weaker rupee.

THE DECISION

What financing structure should Aditi recommend for the ₹60-crore expansion, and what terms and safeguards should SuryaJal negotiate before accepting it?

Assignment Questions

1. What fundamental economic problem does the financial system solve in this case? Identify the lender-savers, borrower-spenders, assets, and liabilities.

2. Trace how Rajesh Kumar's bank deposit, insurance premium, retirement saving, and mutual-fund investment could ultimately support finance for a company such as SuryaJal.

3. Classify each proposed route as direct finance, indirect finance, or a combination depending on perspective. Clearly explain the perspective used.

4. Compare the bank loan, debenture, and equity proposals in terms of repayment commitment, maturity, control, priority, liquidity, risk, and potential return.

5. Distinguish the primary-market and secondary-market transactions described in the case. Why should SuryaJal care about secondary-market liquidity and prices?

6. How do financial intermediaries reduce transaction costs, transform liquidity or maturity, produce information, and share risk?

7. Identify examples of adverse selection and moral hazard. Which contractual and governance mechanisms could reduce each problem?

8. How might higher interest rates and rupee depreciation affect SuryaJal's operating performance, working-capital need, and financing capacity?

9. Evaluate the four financing alternatives. What information is missing before a final commitment can prudently be made?

10. Recommend a financing structure. Specify the amount from each source, the purpose financed, major terms, risks, and safeguards.